

INSTITUTE OF ACTUARIES OF INDIA

EXAMINATIONS

29th November 2024

CP1B - Actuarial Practice

Time allowed: 3 Hours 15 Minutes

Total Marks: 100

- Q. 1)** A multinational Life Insurance Company, Galaxy Insurance, is a Joint Venture partner in a Life Insurance Company ABC Life Insurance Company Ltd. (ABC), in a country with one of the fastest growing economies. ABC has not been performing well for the past few years with increasing claims, higher expenses along with lower renewals and new business volumes. The local partner is planning to exit from the company. However, Galaxy Insurance is bullish on the domestic market and is confident of acquiring a good market share.

Galaxy Insurance is presented with an offer to increase the stakes in the Joint Venture leading to a majority shareholding.

- a) Briefly discuss the possible reasons for Galaxy Insurance's interest in increasing the shareholding in ABC. (4)
- b) Describe the key business aspects Galaxy Insurance should analyze to arrive at a fair valuation of ABC. (18)

The Chief Actuary of Galaxy Insurance is not comfortable with the valuation being offered and wants to perform due diligence on the assumptions and the company's investment strategy.

- c) Discuss the factors the Chief Actuary will need to consider for reviewing assumptions used for the company's valuation. (8)
- d) Define Investment strategy. Highlight and discuss the areas to be evaluated to examine the company's investment strategy. (6)

After months of negotiations and deliberations, the deal finally went through. Galaxy Insurance is now the majority shareholder in ABC Life Insurance Company Pvt. Ltd. Galaxy Insurance aims to have a majority market share and has entrusted the Chief Actuary to introduce for the first time, a new guaranteed endowment assurance without-profit product which will be very competitive compared to its competitors.

- e) Discuss the potential risks and mitigation strategies the Actuary would need to consider when designing the product. (8)

The company realized that in the current market, with-profits product is a good proposition with value generation for both the policyholder and the insurer. The regulator has keen interest in the with-profits product management of insurers and hence many functions are regulated.

- f) State the reasons why with-profit products might be in demand in the market. Why could it be believed to be a valuable proposition for both the insurer and the policyholder? (6)
- g) Define the Actuarial Control Cycle and how it can be used for better ongoing financial management of the company. (10)

[60 Marks]

- Q. 2)** Wakanda is a small country with rich resources of rare metals used in the production of motor engines. The majority of the GDP contribution comes from the production and export of multiple categories of motor vehicles. Due to the mass availability of high-quality vehicles at affordable prices, cars and motorbikes are very popular with almost every citizen owning one vehicle at least.

The parliament of Wakanda has passed a Motor Vehicles Act (The Act) making Third Party Liability Insurance mandatory for all personal and commercial vehicles in the country. This is being considered to be a landmark legislation.

- a) What is Third Party Liability Insurance? Describe the possible reasons for the enactment of this law. (6)
- b) Identify the stakeholders affected by the legislation and discuss in detail the impact of this Act on each one of them. (12)

The Motor Vehicles Act has given a boost to the insurance sector of the country with major global insurers looking forward to entering the market via mergers and acquisitions.

- c) Discuss the short-term and long-term impact on the insurance sector due to the increase in global insurers' participation in the domestic market. (6)

The industry has suffered much heavier claims than expected.

- d) Describe the risks involved with third-party insurance for an insurance company. (5)
- e) Outline the possible reasons for higher claims. (3)
- f) What are the actions that can be taken by the insurance companies to manage profitability? (5)
- g) State the reasons why the company might hold high levels of liquid assets in its portfolio. (3)

[40 Marks]
